

Luxury Items and Loss of Value

There are often significant costs beyond the purchase price associated with luxury items such as boats, RVs, or certain cars. Be sure to evaluate all of these costs before making a buying decision, or you may find out after you've already made the purchase that although you can afford to buy the item, you can't afford to own it.

Take the purchase of a boat as an example. A new eighteen- to twenty-one-foot powerboat will probably cost between \$15,000 and \$20,000. You run all the numbers and decide that the payments fit into your budget. You commit to the sale and drive home with the goods, but during the next year you find you're sinking larger-than-planned quantities of money into owning the boat, starting with the day you register it. Besides registration fees for the boat and trailer, there's gas and oil, maintenance, repairs, insurance, safety courses, inspections, winter storage, personal-property taxes, dock and mooring fees, not to mention depreciation. These costs can add up to a substantial amount, so make sure you get estimates before you buy and make sure you can afford the costs of ownership.



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The same principles apply to buying an RV, expensive car, furniture, appliances, or any luxury item. Buying cheaply made furniture or appliances may cost you more in the long run because you have to replace them more often. Try to buy quality products without overpaying unnecessarily for features you won't use or for a brand name that doesn't